



Insurance
INSURANCE FOR THE LIVING

INTERIM FINANCIAL STATEMENTS

31 MARCH 2019



Arpico Insurance Plc

STATEMENT OF COMPREHENSIVE INCOME

For the three months ended 31 March

		Three Months Ended 31 March 2019 Unaudited	Three Months Ended 31 March 2018 Unaudited
	Note	Rs	Rs
Revenue		396,974,713	389,795,485
Gross written premium	3	332,850,331	346,111,832
Premium ceded to reinsurers	3	(12,517,360)	(7,534,760)
Net written premium		320,332,971	338,577,073
Other Revenue			
Fee and Commission Income	3	7,371,948	6,457,087
Income from investments	5	59,574,756	43,088,700
Realise Gain	3	7,566,721	-
Other Income	3	2,128,318	1,672,626
Total Other revenue		76,641,742	51,218,413
Net Income		396,974,713	389,795,485
Net insurance benefits and claims paid		(67,640,928)	(35,753,939)
Net change in insurance claims outstanding		(1,921,204)	813,869
Underwriting and Net Acquisition Costs		(156,241,066)	(139,751,134)
Change in Contract Liabilities - Life Fund		(61,692,012)	(129,121,930)
Other operating and administrative expenses		(89,142,620)	(71,704,988)
Net benefits and claims		(376,637,831)	(375,518,122)
Profit/(Loss) before tax		20,336,882	14,277,363
Income tax expense		-	-
Profit/(Loss) for the Period		20,336,882	14,277,363

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 31 March

	Notes	Three Months Ended 31 March 2019 Unaudited Rs	Three Months Ended 31 March 2018 Unaudited Rs
Profit / (Loss) for the Period		20,336,882	14,277,363
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		8,079,676	363,738
Fair value movement of AFS reserve transferred to life fund		(8,079,676)	(363,738)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		20,336,882	14,277,363

The accounting policies and notes as set out in pages 7 to 10 form an integral part of these financial statements.

Arpico Insurance Plc

STATEMENT OF FINANCIAL POSITION

As at 31 March 2019

	Notes	31-Mar-19 Unaudited Rs.	31-Dec-18 Audited Rs.
Assets			
Property, Plant and Equipment		67,181,826	63,045,746
Intangible Asset		831,875	303,750
Financial Assets	7	2,163,299,526	2,028,265,792
Loans to Life Policy Holders		236,008,319	228,616,921
Reinsurance Receivable		40,912,395	26,939,303
Amounts due from related party		31,944,053	26,907,609
Premium Receivable		49,377,511	73,071,532
Other Assets		82,742,674	74,414,275
Deferred tax asset		304,428,385	304,428,385
Cash and Cash Equivalents		126,308,513	170,483,254
Total Assets		3,103,035,076	2,996,476,567
Equity and liabilities			
Shareholders' Equity			
Stated capital		675,564,870	675,564,870
Revenue Reserves		777,089,870	756,752,988
Total Shareholders' Equity		1,452,654,740	1,432,317,858
Liabilities			
Insurance Contract Liabilities - Life	8	1,395,641,087	1,325,869,400
Employee Benefit Obligation		10,392,383	9,488,251
Reinsurance Creditors		52,395,722	50,022,714
Amounts Due to Related Party	10	4,652,733	7,184,537
Financial Liabilities		122,416,187	115,608,712
Other liabilities		64,882,225	55,985,095
Total Liabilities		1,650,380,337	1,564,158,709
Total Liabilities and Shareholders' Equity		3,103,035,076	2,996,476,567

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



 DGM - Finance & Operation
 (Melanga A Doolwala)

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



 Director
 (W.J. Viville P. Perera)



 Director
 (Shiron Gooneratne)

The accounting policies and notes as set out in pages 7 to 10 form an integral part of these financial statements.

15th May 2019
 Colombo

Arpico Insurance Plc

STATEMENT OF CASH FLOW

For the three months ended 31 March

	Notes	2019 Rs.	2018 Rs.
Operating activities			
Receipts from Policyholders		356,544,353	369,373,467
Payments to Reinsurers		(10,144,353)	(6,097,269)
Claims Paid		(82,027,664)	(42,053,598)
Reinsurance receipts in respect of claims		10,144,353	6,074,217
Payments to Suppliers and Employees		(171,649,698)	(309,689,982)
Cash Inflow from Operating Activities		102,866,991	17,606,834
Tax Paid		(1,811,615)	(2,324,847)
Net Cash Flows from Operating Activities		101,055,376	15,281,986
Investing activities			
Purchase of property and equipment		(9,626,383)	(10,322,270)
Purchase of Intangible Asset		(570,000)	-
Net drawdown of Investments		(135,033,734)	(176,879,094)
Net cash flows generated / (used) in investing activities		(145,230,117)	(187,201,364)
Financing Activities			
Proceeds from Share issue		-	-
Stamp Duty on Share Allotment		-	-
Net cash flows used in financing activities		-	-
Net (decrease)/increase in cash and cash equivalents		(44,174,741)	(171,919,378)
Cash and cash equivalents at 1 January		170,483,254	320,778,531
Cash and cash equivalents at 31 March		126,308,513	148,859,154
Analysis of Cash and Cash Equivalents			
Favourable Balances			
Cash at Hand		417,306	380,009
Cash at Bank		125,891,207	148,479,145
		126,308,513	148,859,153
Total Cash and Cash Equivalents		126,308,513	148,859,153

Arpico Insurance Plc

STATEMENT OF CHANGES IN EQUITY

For the Period ended 31 March 2019

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Audited Balance as at 1 January 2018	675,564,870	-	257,632,154	933,197,024
Issue of share capital				-
Share Issue Expenses				-
Dividend Declared			-	-
Net profit for the period			499,184,513	499,184,513
Other Comprehensive Income			(63,679)	(63,679)
Audited Balance as at 31 December 2018	675,564,870	-	756,752,988	1,432,317,858
Issue of share capital				-
Other Comprehensive Income				
Net profit for the period			20,336,882	20,336,882
Unaudited Balance as at 31 March 2019	675,564,870	-	777,089,870	1,452,654,740

Notes to Interim Financial Statements

- | | | Three months
ended 31 March
Unaudited
2019
Rs | Three months
ended 31 March
Unaudited
2018
Rs | Year Ended 31
December
Audited
2018
Rs |
|-----------------------------|--------------|---|---|--|
| 3. REVENUE | Notes | | | |
| Gross Written Premium | 4(a) | 332,850,331 | 346,111,832 | 1,387,432,253 |
| Premium Ceded to Reinsurers | 4(b) | (12,517,360) | (7,534,760) | (41,327,272) |
| Net Written Premium | | 320,332,971 | 338,577,073 | 1,346,104,981 |
| Fees and commission income | | 7,371,948 | 6,457,087 | 10,666,036 |
| Investment income | | 59,574,756 | 43,088,700 | 205,215,741 |
| Other operating revenue | | 2,128,318 | 1,672,626 | 6,935,286 |
| Realise Gain | | 7,566,721 | - | 13,823,318 |
| Total Revenue | | 396,974,713 | 389,795,485 | 1,582,745,361 |

		Three months ended 31 March	Three months ended 31 March	Year Ended 31 December
		Unaudited	Unaudited	Audited
4.	NET WRITTEN PREMIUMS	2019	2018	2018
4(a)	Gross premiums on insurance contracts	Rs	Rs	Rs
	Conventional Policies	332,850,331	346,111,832	1,387,432,253
	Total gross written premiums	332,850,331	346,111,832	1,387,432,253

4 (b). Premiums ceded to reinsurers on insurance contracts	Three months ended 31 March Unaudited 2019 Rs	Three months ended 31 March Unaudited 2018 Rs	Year Ended 31 December Audited 2018 Rs
Conventional Policies	(12,517,360)	(7,534,760)	(41,327,272)
Total premiums ceded to reinsurers	(12,517,360)	(7,534,760)	(41,327,272)
Total net written premiums	320,332,971	338,577,073	1,346,104,981

	Three months ended 31 March Unaudited 2019 Rs	Three months ended 31 March Unaudited 2018 Rs	Year ended 31 December Audited 2018 Rs
5. INVESTMENT INCOME			
Available-for-sale financial assets- Interest Income	16,142,431	17,560,315	29,342,217
Loans and receivables interest income	43,432,324	25,528,385	175,873,524
Total investment income	59,574,756	43,088,700	205,215,741

Arpico Insurance Plc

Notes to Interim Financial Statements

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Three months ended 31 March Unaudited 2019 Rs	Three months ended 31 March Unaudited 2018 Rs
Profit /(Loss) for the year	20,336,882	14,277,363
Weighted Average Number of Ordinary Shares (Nos)	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	0.30	0.21

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion

7. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	31-Mar-19 Unaudited Rs	31-Dec-18 Audited Rs
Loans and receivables	1,786,073,466	1,507,403,917
Available-for-sale financial assets	377,226,061	520,861,875
Total financial instruments	2,163,299,526	2,028,265,792

The following table consists of the fair values of the financial investments together with their carrying values.

	31-Mar-19 Carrying value Unaudited Rs	31-Mar-19 Fair value Unaudited Rs	31-Dec-18 Carrying value Audited Rs	31-Dec-18 Fair value Audited Rs
Loans and receivables	7 (a). 1,786,073,466	1,786,073,466	1,507,403,917	1,507,403,917
Available-for-sale financial assets	7 (b). 377,226,061	377,226,061	520,861,875	520,861,875
Total financial instruments	2,163,299,526	2,163,299,526	2,028,265,792	2,028,265,792

7 (a). Loans and receivables

	31-Mar-19 Unaudited Rs	31-Dec-18 Audited Rs
Investment in Corporate Debt	911,262,360	754,152,042
Investment in Fixed Deposit	351,446,297	342,069,407
Investment in Repos	508,586,179	397,985,002
Investment in Commercial Papers	54,778,630	53,197,466
	1,826,073,466	1,547,403,917
Provision for Impairment	(40,000,000)	(40,000,000)
	1,786,073,466	1,507,403,917

7 (b). Available for sale financial assets

	31-Mar-19 Unaudited Rs	31-Dec-18 Audited Rs
Investments in Government Securities	377,226,061	520,861,875
	377,226,061	520,861,875

Arpico Insurance Plc

Notes to Interim Financial Statements

8. INSURANCE CONTRACT LIABILITIES		31-Mar-19	31-Dec-18
		Unaudited Rs	Audited Rs
Balance as at beginning		1,325,869,400	1,025,457,000
Change in contract liabilities life fund			
Increase in Life insurance fund before surplus transfer	8 (a)	61,692,012	442,808,983
Surplus transferred from share holders		-	(133,076,787)
Increase in Life insurance fund		61,692,012	309,732,196
Movement in AFS reserve transferred to life fund		8,079,676	(9,319,796)
Balance as at End		1,395,641,088	1,325,869,400

8 (a) Increase in Life insurance fund before surplus transfer

	2019 March (Unaudited)		
	Gross Insurance Contract Liabilities	Reinsurance on insurance contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	332,850,331	(12,517,360)	320,332,971
Liabilities paid for death, benefits and claims	(93,679,577)	24,117,445	(69,562,132)
Underwriting and Net Acquisition Costs	(156,241,066)		(156,241,066)
Fees (deducted)/received	9,500,265		9,500,265
Investment return	39,234,872		39,234,872
Realise Gain	7,566,721		7,566,721
Other operating and administrative expenses	(89,139,619)		(89,139,619)
As at 31st March 2018	50,091,928	11,600,085	61,692,012

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant Actuaries for the year ended 31st December 2018 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 December, 2018 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultant M/S Actuarial Partners. Based on that valuation, the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance Plc

Notes to Interim Financial Statements

9. TAXATION AND DEFERRED TAX

Arpico Insurance PLC is liable for income tax at 28% (2018 -28%)

The taxation basis of life insurance business changed from 01 April 2018 with the coming into effect of the Inland Revenue Act No. 24 of 2017 where a surplus based taxation basis is adopted replacing what was commonly known as "I-E" basis of taxation. However, the profits of Life Shareholders' fund will be taxed along a basis of "I-E".

Deferred Taxation is provided using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount substantively enacted by the reporting date.

Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Accordingly the company made an assessment of future taxable profits and identified that total tax losses can be claimed within the prescribed period of the new Act. Accordingly a deferred tax asset has been recognized amounting to Rs. 304 Mn.

10. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	31-Mar-19 Unaudited Rs	31-Dec-18 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	809,389	-
Richard Pieris Distributors Limited	Affiliate	2,641,416	4,768,637
Arpitech (Pvt) Ltd	Affiliate	421,745	467,980
Arpico Interiors	Affiliate	780,183	701,109
Richard Pieris Finance Limited	Affiliate	-	1,246,811
		4,652,733	7,184,537

11. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31st March 2019, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

12. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

Arpico Insurance Plc

Notes to Interim Financial Statements
For the Period ended 31 March 2019

Shareholder Information

Top 20 Shareholder

Name of the Shareholder	As at 31 March 2019	
	Shareholding	% on Issued Shares
1 Kegalle Plantaions Limited	26,685,001	40.29
2 Richard Pieris Distributors Limited	17,790,001	26.86
3 Richard Pieris And Company Plc	15,125,001	22.84
4 Mr.J.P.Paul	1,610,650	2.43
5 Mr.C.S.N.Silvapulle	668,399	1.01
6 Mr.H.V.Senaweera	440,053	0.66
7 Mrs.M.P.B.Fernando	425,000	0.64
8 Mr.S.Sivashanth	400,000	0.60
9 Mr.B.A.R.Dissanayake	200,000	0.30
10 Mr.A.P.Arumugampillai	200,000	0.30
11 Merchant Bank of Sri Lanka & Finance PLC/S	154,999	0.23
12 Mrs.M.S.E.V.E.A.U.Von Stumm	150,000	0.23
13 Peoples Leasing & Finance Plc/Mr.K.J. Gamage	150,000	0.23
14 Mr.F.N.Herft	143,811	0.22
15 Mr.M.L.A.Benedict	122,890	0.19
16 Mr.S.A.Obeyesekere	103,300	0.16
17 Flybrunei Sdn Bhd	99,700	0.15
18 Mr.T.A.N.Gomis	94,878	0.14
19 Mr.P.B. Perera	88,544	0.13
20 Assetline Leasing Company LTD/MR.K.	79,459	0.12
	64,731,686	97.73

Public Shareholding

	As at 31st March 2019	
	No. of Shares	% on Issued Shares
Number of Shares	6,630,400	10.01%

	As at 31st March 2019	
	No. of Shareholders	% on Issued Shares
Number of Shareholders	616	99.35

Directors' Shareholdings

There is no share holding by the directors as at 31st March 2019

Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Ordinary Share

Share Performance

Net Asset Value Per Share as at 31st March 2019	21.93
Highest Price Per Share for the Interim Period	19.6
Lowest Price Per Share for the Interim Period	16.2
Last traded Price Per Share as at 31st March 2019	17.9